Kenya **Agriculture & Food Security** Sector Report 2026

Strategic Insights for Agribusiness, Food Systems, and Agricultural Investment in Kenya

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Understanding the agricultural and food systems shaping Kenya's economy

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KENYA 2026
AGRICULTURE & FOOD SECURITY INTELLIGENCE BRIEF

The March-May long rains are the single most consequential variable for Kenya's entire 2026 economic outlook. *More important than any CBK rate decision, fiscal adjustment, or global macro development. And they are happening now.*

Derived from the Kenya 2026 Economic Outlook | Econsult Africa Sector Intelligence Series

Section 1: Macro Context in 60 Seconds

There is one number in the Kenya 2026 Economic Outlook that matters more than any other, and it is not a number at all. It is a **weather event**. The March-May 2026 long rains. The Outlook puts this as directly as an economic document can: the long rains are "the single most important near-term variable for Kenya's economic outlook — more consequential than any CBK rate decision, fiscal adjustment, or global macro development" (Econsult Africa, 2026). Agriculture contributes approximately 22% of GDP directly and 27% including linked processing and distribution. It employs over 70% of the rural workforce. And it determines food inflation, which at 7.3% in February 2026 is already running nearly double headline inflation of 4.3% (KNBS, 2026).

The agricultural year told a story of deceleration through 2025. Q1 growth was 6.0%, driven by favourable late-2024 weather and strong coffee and horticultural exports. By Q3, growth had fallen to 3.2% as the October-December short rains delivered the shortest rainfall season since 1981 across the Horn of Africa (Econsult Africa, 2026; FEWS NET, 2026). FEWS NET estimates 4.0 to 4.99 million people will need humanitarian food assistance between February and September 2026, with needs peaking in March-April (FEWS NET, 2026). Maize prices are running 18% above the five-year average in some markets (Eastleigh Voice, 2026). The government has set aside KSh 2 billion for subsidised maize seeds and plans to distribute 12.5 million bags (625,000 tonnes) of subsidised fertiliser (Milling MEA, 2026).

Since the Outlook was completed, two developments have shifted the picture. First, the Kenya Meteorological Department's MAM 2026 forecast projects near- to above-average rainfall for the Lake Victoria Basin, the Highlands West and East of the Rift Valley, and parts of North-western Kenya, but below-average for the Coast and poorly distributed for the ASALs (KMD, 2026). Second, the February 28 oil shock has pushed Brent to $112, raising fertiliser, transport, and fuel input costs for farmers at precisely the planting window. The USDA projects a 32% increase in maize production to 4.5 million tonnes for the 2026-27 marketing year, conditional on normal rainfall (USDA FAS, 2026). **Everything depends on whether the next eight weeks deliver.**

> *This brief draws primarily on the Kenya 2026 Economic Outlook by Econsult Africa, supplemented by publicly available data through March 29, 2026. The Outlook's core thesis — that the long rains determine the year — remains fully valid. The oil shock since February 28 adds a compounding risk not present when the Outlook was finalised.*

For the full macroeconomic analysis, see the Kenya 2026 Economic Outlook (https://econsult.africa/kenya-2026).

Section 2: Sector Performance and Trajectory

The Crop That Decides Food Security: Maize

Maize provides over 40% of daily calorie intake in Kenya. It is not a commodity. It is the **political staple**. Maize flour prices rose 13.2% year-on-year in December 2025; loose maize grain rose 12.6% (Econsult Africa, 2026). Wholesale prices in Nairobi and Kisumu were 24-26% higher than 2024, and in marginal agricultural areas, retail prices ranged from average to 14% above the five-year average (FEWS NET, 2026). The 2025 national harvest of 4.03 million tonnes, grown on 2.41 million hectares, represents the baseline from which 2026 must improve (The Star, 2026). The USDA's March 2026 forecast of 4.5 million tonnes (+32%) assumes a return to normal rainfall, expanded acreage to pre-drought levels, and improved yields from the subsidised fertiliser programme (USDA FAS, 2026). If delivered, imports decrease and the supply gap closes. If the rains are poor, imports surge at exactly the moment the oil shock is raising freight costs.

The Structural Star: Horticulture

Cut flower exports surged 36.2% in Q3 2025 to 31,277 tonnes. Kenya supplies 38% of EU cut flower imports. The Kenya-EU Economic Partnership Agreement, ratified in April 2024, secures duty-free market access permanently, removing the uncertainty that AGOA-dependent sectors face (Econsult Africa, 2026). Horticulture is Kenya's most climate-controlled agricultural sector: most production occurs in greenhouses or managed environments around Lake Naivasha, making it structurally less vulnerable to rainfall shocks than rain-fed crops. The sector faces rising input costs (fertilisers, packaging, air freight, now amplified by the oil shock) and increasing EU phytosanitary requirements. But the structural trajectory is clear: horticulture is the agricultural sector's equivalent of M-Pesa — a globally competitive, structurally growing platform that Kenya dominates.

The Structural Headwind: Tea

Kenya is the world's largest tea exporter by volume, and the sector is in structural decline. Full-year 2025 output fell 11%. The World Bank projects global beverage prices to fall a further 7% in 2026, creating a simultaneous volume-and-price squeeze (Econsult Africa, 2026). Climate variability, aging plantations, and intensifying competition from Sri Lanka and Vietnam are structural, not cyclical. EU market access is secure under the EPA, and Eurozone demand weakness (1.2% GDP growth) limits upside. Tea's contribution to export revenues is under pressure that good rains alone cannot fix.

The Positive Surprise: Coffee and Dairy

Coffee remains volatile but high-value. Exports surged 73.8% in Q1 2025 driven by specialty Arabica premiums, then collapsed in Q3 (Econsult Africa, 2026). Kenya's AA grade commands significant premiums on international auctions, but production volumes are small. Dairy is the quiet positive: milk deliveries to processors increased 9.7% in Q3 2025, supported by improved pasture conditions and better veterinary access. Dairy is one of the few subsectors where productivity-enhancing investments are generating measurable output gains (Econsult Africa, 2026).

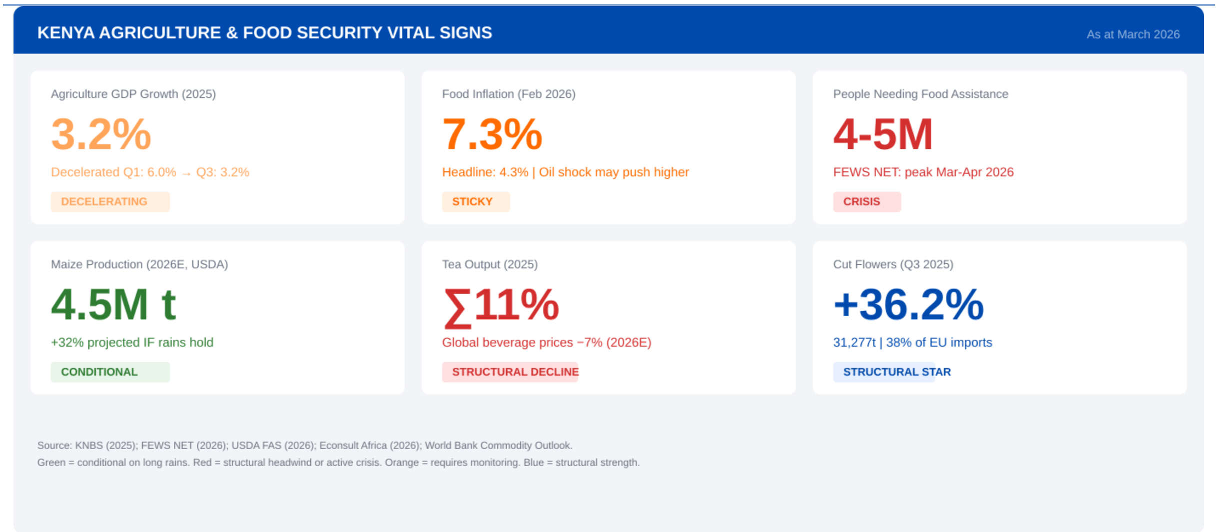


Figure 1: Agriculture & Food Security Vital Signs Dashboard, March 2026. Green = conditional on long rains. Red = structural headwind or active crisis. The juxtaposition of maize (+32% projected) and tea (-11% actual) tells the sector's story: one binary bet and one structural decline.

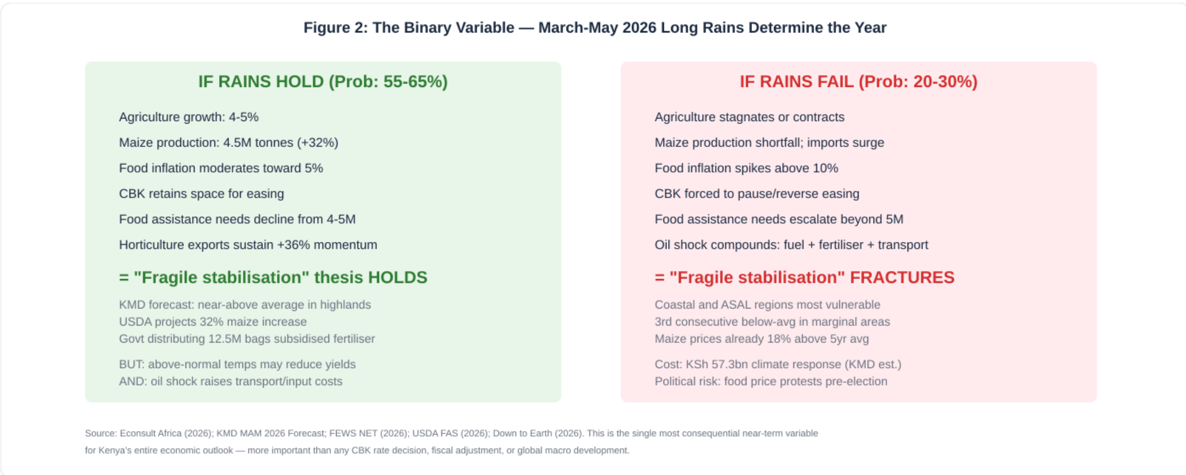


Figure 2: The Binary Variable. The March-May 2026 long rains determine whether the Outlook's fragile stabilisation thesis holds or fractures. The oil shock compounds both scenarios by raising input costs regardless of rainfall.

Section 3: Policy and Regulatory Environment

The Fertiliser Question: Subsidies, Geothermal, and the $112 Oil Problem

The government plans to distribute 12.5 million bags (625,000 tonnes) of subsidised fertiliser for the 2026 planting season, with subsidised prices capped at KSh 2,500 per 50kg bag via the e-voucher system (USDA FAS, 2026; Crazy Kanairo Farming, 2026). Maize seeds have been priced at KSh 250 per 1kg through Kenya Seed Company, cutting input costs by up to 22% for approximately 2.5 million smallholder farmers (Milling MEA, 2026). These interventions are necessary but their fiscal cost is substantial, and the oil shock raises the underlying cost of fertiliser (most of which is imported) at exactly the moment subsidies are being disbursed. The Olkaria geothermal fertiliser production facility, described by President Ruto as "a cornerstone of Kenya's food security strategy," aims to reduce import dependence structurally, but it is not yet operational (The Star, 2026).

The Credit Gap: 84.8% Financial Inclusion, 4% Agricultural Lending

Kenya's most striking structural paradox: 84.8% financial inclusion and only 4% of total bank lending flowing to agriculture (Econsult Africa, 2026). Over 70% of the rural workforce depends on farming, yet the banking sector treats agriculture as too risky to lend to at scale. The RBCPM reform creates a theoretical opportunity — digital lenders with crop insurance and weather-indexed credit products could publish lower K premiums for agricultural borrowers — but this remains unrealised. The Galana Kulalu Food Security Project continues under a public-private partnership with SELU Africa Ltd, with 5,400 acres under maize production and plans to scale to 20,000 and eventually 180,000 acres (The Star, 2026).

Food Security Response: KSh 57.3 Billion Needed

The Kenya Meteorological Department's State of the Climate 2025 report estimates that at least KSh 57.31 billion (approximately $456 million) will be required between February and July 2026 to address climate-related impacts, including food assistance (KSh 30.18 billion), livestock support (KSh 3.43 billion), water infrastructure (KSh 5.54 billion), health and nutrition (KSh 9.98 billion), and agricultural inputs and pest control (KSh 2.59 billion) (Down to Earth, 2026). This competes directly with infrastructure spending, AFCON preparation, and the oil-driven fuel stabilisation costs analysed in the Energy Brief. The fiscal arithmetic is increasingly constrained.

Section 4: Risk Map

Agriculture's risk profile is dominated by a single variable, but the oil shock since February 28 has elevated a second risk from medium to high. The sector now faces the possibility of **two adverse shocks simultaneously**: failed rains AND elevated input costs.

Risk 1: March-May Long Rains Failure (Probability: 20-30% | Impact: Severe)

The Outlook's defining risk. If the rains are poor: agriculture stagnates or contracts, food inflation spikes above 10%, CBK may be forced to pause easing, and the fragile stabilisation thesis fractures. **Current status:** KMD forecasts near-above average rainfall in highlands (positive), but below-average on Coast and poorly distributed in ASALs. Above-normal temperatures (0.5-1.5°C) may reduce yields even with adequate rainfall. **Early warning:** KMD rainfall monitoring; dam levels; FEWS NET updates; maize planting progress reports. **Transmission:** Agriculture contributes ~22% of GDP and 1.0-1.3 percentage points to headline growth. Failure directly compresses GDP, spikes food CPI, and triggers humanitarian response costs (Econsult Africa, 2026; KMD, 2026; FEWS NET, 2026).

Risk 2: Oil-Driven Input Cost Surge (Status: ACTIVE | Impact: Medium-High)

Brent at $112 raises fertiliser, transport, and fuel costs for farming operations at the planting window. Even with subsidised fertiliser, the pass-through to farm-gate costs (diesel for tractors, transport to market, packaging) compresses margins. **Current status:** EPRA has frozen pump prices through April 14, but April cargoes will reflect $100+ oil. **Transmission:** Reduces the net benefit of subsidised inputs; raises food transport costs; widens the gap between farm-gate and retail prices; and if sustained, reduces the planted area as marginal farmers cannot afford preparation costs (AInvest, 2026; EPRA, 2026).

Risk 3: Tea Structural Decline (Probability: High | Impact: Medium)

Output fell 11% in 2025 and global beverage prices are projected down 7% in 2026. This is structural, not cyclical. **Trigger:** Further Eurozone demand weakness; Sri Lankan/Vietnamese competition gains; climate variability reducing yields. **Transmission:** Tea revenue decline directly affects smallholder incomes in Central and Western highlands, with multiplier effects through local economies (Econsult Africa, 2026).

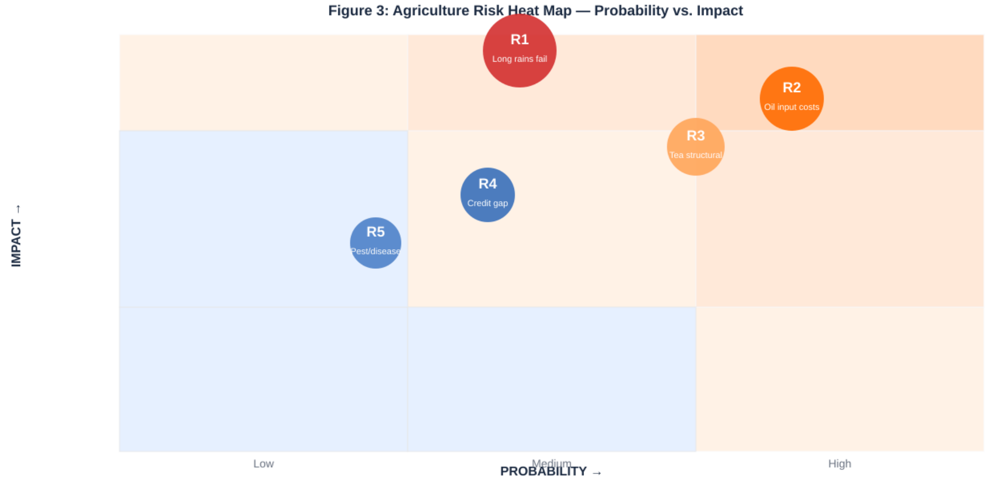
Risk 4: Agricultural Credit Gap Persists (Probability: High | Impact: Medium, structural)

Only 4% of bank lending reaches agriculture despite 84.8% financial inclusion and 22% GDP contribution. **Trigger:** Banks continue to classify agriculture as high-risk under RBCPM K premium calculations. **Transmission:** Farmers rely on informal credit, M-Pesa lending (Fuliza), or self-financing, constraining investment in productivity improvements (Econsult Africa, 2026).

Risk 5: Pest and Disease Outbreak (Probability: Low-Medium | Impact: Medium)

Fall armyworm, desert locusts (not currently active but cyclically recurrent), and livestock diseases remain latent threats. **Trigger:** Climate stress weakening plant and animal resilience; cross-border pest migration. **Early warning:** FAO monitoring; county agricultural officer reports. **Transmission:** Localised crop or livestock losses compounding rainfall shortfalls.

Figure 3: Agriculture Risk Heat Map — Probability vs. Impact



R1: Long Rains Failure | R2: Oil-Driven Input Cost Surge (ACTIVE) | R3: Tea Structural Decline | R4: Agricultural Credit Gap (4%) | R5: Pest/Disease Outbreak

Source: Econsult Africa (2026). R2 has been elevated from medium to high probability since the Feb 28 oil shock, as fuel, fertiliser, and transport costs rise.

Figure 3: Agriculture Risk Heat Map. R1 (long rains failure) dominates. R2 (oil-driven input costs) has been elevated from medium to high probability since the February 28 oil shock. The combination of R1 and R2 triggering simultaneously is the downside scenario described in Figure 5.

Section 5: Opportunity Map

Opportunity 1: Horticulture and Cut Flowers (structural, 3-5+ years)

Thesis: Kenya's most robust agricultural opportunity. Cut flowers grew 36.2% in Q3 2025; Kenya supplies 38% of EU imports; EU EPA secures duty-free access permanently; climate-controlled production reduces weather vulnerability. **Evidence:** 31,277 tonnes in Q3 2025; Lake Naivasha greenhouse cluster globally competitive; growing European demand for sustainably sourced fresh produce; ESG certifications provide competitive advantage. **Risk:** EUR/KES exchange rate; EU phytosanitary tightening; water stress in Naivasha basin; air freight costs (now elevated by oil shock). **Time horizon:** Structural. This is the agricultural equivalent of M-Pesa (Econsult Africa, 2026).

Opportunity 2: Digital Agriculture and Climate-Smart Farming (2-5 years)

Thesis: The gap between 84.8% financial inclusion and 4% agricultural credit represents a massive addressable market for agritech. Weather-indexed crop insurance, satellite-monitored credit products, digital supply chain management, and precision agriculture tools all leverage Kenya's digital infrastructure (M-Pesa, mobile penetration) for agricultural productivity. **Evidence:** Safaricom's FarmerAI tools; growing agritech startup ecosystem; M-Pesa enabling farmer payments and input purchases. **Risk:** Low farmer willingness to pay for digital tools; connectivity gaps in rural areas. **Time horizon:** Medium-term.

Opportunity 3: Maize Production Recovery (conditional, 6-12 months)

Thesis: USDA projects 32% increase to 4.5 million tonnes if rainfall normalises. Government distributing 12.5 million bags of subsidised fertiliser and subsidised seeds at 22% below market. If delivered, imports decrease, food inflation moderates, and the stabilisation thesis holds. **Evidence:** KMD forecasting near-above average rainfall in breadbasket counties; government input programmes active; 2025 harvest of 4.03M tonnes provides baseline. **Risk:** This opportunity is entirely conditional on weather. It also faces the oil shock compounding input costs. **Time horizon:** Short-term. The June harvest determines the outcome (USDA FAS, 2026; KMD, 2026).

Opportunity 4: Dairy Value Chain Formalisation (3-5 years)

Thesis: Dairy is the agricultural subsector where productivity-enhancing investments are working. Milk deliveries to processors increased 9.7% in Q3 2025. Improved breeds, feed management, and cold chain investments are generating measurable output gains. Formalisation of the largely informal dairy value chain represents a significant opportunity for both productivity and income growth. **Risk:** Fragmented value chain; cold chain infrastructure gaps; competition from imported UHT milk. **Time horizon:** Medium-term (Econsult Africa, 2026).

Opportunity 5: Local Fertiliser Production / Olkaria (medium-term)

Thesis: The oil shock has demonstrated Kenya's vulnerability to imported input costs. Local fertiliser production at Olkaria, leveraging geothermal energy, would structurally reduce this dependency. President Ruto described the facility as a food security cornerstone. **Evidence:**

KenGen's Green Energy Park SEZ at Olkaria; geothermal-powered industrial operations at globally competitive energy costs; government commitment to reducing fertiliser import dependency. **Risk:** Construction timelines; commercial viability; scale relative to national demand (625,000 tonnes annually). **Time horizon:** Medium-term (The Star, 2026; KenGen, 2026).

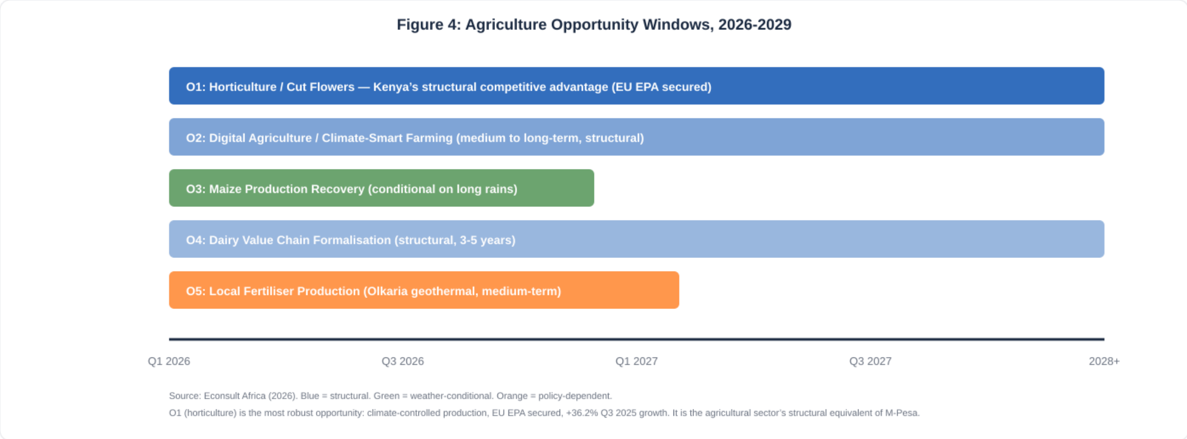


Figure 4: Agriculture Opportunity Windows. O1 (horticulture) is the most robust: climate-controlled, EU market secured, structurally growing. O3 (maize recovery) is the most conditional: entirely dependent on the next 8 weeks of rainfall.

Section 6: So What: Implications by Player Type

For Operators (farmers, agribusinesses, input suppliers)

Plant now. The KMD forecast for the breadbasket counties is favourable. Subsidised fertiliser and seeds are available. The oil shock raises all costs, so input efficiency (soil testing, precision application) is more valuable than ever. **Horticulture operators should lock air freight contracts immediately** before the oil shock fully reprices cargo rates. The EPA provides market certainty that justifies expansion investment. **Tea producers:** the structural headwinds are real. Diversify toward specialty and direct-trade channels where Kenya's quality commands premiums.

For Investors (agribusiness, land, supply chain)

Horticulture is the compelling long-term play. Climate-controlled, EU market secured, 36.2% growth, globally competitive cluster at Lake Naivasha. Investment in greenhouse expansion, cold chain, and logistics infrastructure has structural tailwinds. **Agritech is the medium-term opportunity:** the 4% agricultural credit gap is a market failure waiting for a technology solution. Weather-indexed insurance, satellite-monitored lending, and digital supply chain platforms all have addressable markets. **Avoid rain-fed crop exposure** unless hedged with insurance or diversified across regions.

For Policymakers (Ministry of Agriculture, KNBS, County govts)

Execute the fertiliser programme on time. Every week of delay during the planting window reduces the programme's impact on the June harvest. **Address the 4% credit gap structurally:** partial credit guarantees for agricultural lending, crop insurance mandates linked to subsidised input programmes, and RBCPM guidance encouraging banks to develop agricultural K premium methodologies. **Prepare for the dual scenario:** if rains hold, the harvest reduces food imports and moderates inflation. If rains fail while oil is at $100+, the combination of food and fuel inflation is politically and fiscally explosive pre-election.

For Development Partners (FAO, World Bank, IFAD)

Agriculture is Kenya's most employment-intensive and most climate-vulnerable sector. With 4-5 million people needing food assistance and KSh 57.3 billion in estimated climate response costs, the immediate humanitarian need is clear. **Structural interventions:** credit guarantee schemes for agricultural lending, weather-indexed insurance scale-up, climate-smart agriculture extension, and irrigation infrastructure in ASALs. The Galana Kulalu model (PPP, irrigated production) needs evaluation and potential scaling.

Section 7: Key Indicators to Watch

Indicator	Current Value	Trend	Threshold	Source	Freq.
MAM 2026 rainfall	Onset underway	▲ On time	Below 80% of normal	KMD	Weekly
Food CPI (YoY)	7.3% (Feb 26)	↔ Sticky	Exceeds 10%	KNBS	Monthly
Maize price (Nairobi)	24-26% above 2024	▲ Elevated	18%+ above 5yr avg	FEWS NET	Weekly
People needing assistance	4-5M (Feb-Sep 26)	▲ Peak Mar-Apr	Exceeds 5M	FEWS NET	Monthly
Tea output	11% decline (2025)	▼ Structural	Further volume decline	AFA/KNBS	Annual
Cut flower exports	36.2% growth (Q3)	▲ Structural	Deceleration below 10%	KNBS	Quarterly
Fertiliser distribution	12.5M bags planned	▲ In progress	Delays past mid-April	MoA	Monthly
Brent crude (input costs)	$112.57 (Mar 27)	▲ CRISIS	Sustained >$95	Trading Econ.	Daily
Dairy deliveries	9.7% growth (Q3)	▲ Positive	Decline for 2 quarters	KNBS	Quarterly
Agricultural credit share	~4% of bank lending	↔ Stagnant	No improvement in 2026	CBK	Annual

Figure 5: Agriculture Under Three Macro Scenarios (2026)

SCENARIO	AG GROWTH	FOOD INFLATION	RAINS + OIL	SECTOR VERDICT
UPSIDE Good rains + oil resolves	4-5%	<5% Moderates rapidly	Good rains + Hormuz reopens Double tailwind: food + fuel deflation	RECOVER
BASELINE Mixed rains + oil elevated	3-4%	6-8% Oil pass-through adds 1-2pp	Adequate in highlands; poor in ASALs Oil raises fertiliser and transport costs	FRAGILE
DOWNSIDE Rains fail + oil sustained	<2%	>10% Food + fuel double shock	Failed rains + $100+ oil CBK forced to pause easing; fiscal crisis	FOOD CRISIS

Source: Econsult Africa (2026); USDA FAS (2026); FEWS NET (2026). The downside combines the two worst outcomes (failed rains + sustained oil spike) and carries higher probability than the Outlook assumed, because one of the two triggers (the oil shock) has already occurred. The rains remain uncertain.

Figure 5: Agriculture Under Three Macro Scenarios. The downside (food crisis) combines two adverse shocks: failed rains AND sustained oil at $100+. One of these triggers (oil) has already occurred since the Outlook was written, elevating the downside probability.

Section 8: References

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Methodology

This brief is derived from the Kenya 2026 Economic Outlook, a comprehensive macroeconomic assessment by Econsult Africa, supplemented by publicly available data through March 2026. All sources are cited in APA 7th edition format. All 2026 sector-level projections remain forward-looking assessments as at the date of publication.

Primary source: Econsult Africa. (2026). Kenya 2026 Economic Outlook. Econsult Africa. https://https://econsult.africa/intelligence-marketplace

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